

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 25-02

NIELSEN & BAINBRIDGE, LLC
Complainant

VS.

OCEAN NETWORK EXPRESS PTE. LTD.; ORIENT
OVERSEAS CONTAINER LINE LIMITED; OOCL
(EUROPE) LIMITED; EVERGREEN LINE JOINT
SERVICE AGREEMENT (FMC #011982); EVERGREEN
MARINE CORPORATION (TAIWAN) LTD.;
EVERGREEN MARINE (UK) LIMITED, ITALIA
MARITTIMA SPA; EVERGREEN MARINE (HONG
KONG) LTD.; EVERGREEN MARINE (SINGAPORE)
PTE. LTD.; AND YANG MING MARINE TRANSPORT
CORPORATION

Respondents

**RESPONDENT OCEAN NETWORK EXPRESS PTE. LTD.'S
SUPPLEMENTAL REPLY ON SEVERANCE OF CLAIMS**

In accordance with the Commission's recent Order on Motions to Sever and Motions for a More Definitive Statement (FMC Docket 25-02, Doc. No. 24), Respondent Ocean Network Express Pte. Ltd. ("ONE") submits this supplemental reply on the specific issue of severance of claims between alliance members. For the reasons set forth herein, the claims against Respondent ONE should be severed and proceed independent of all other Respondents, even those related by an alliance.

I. The proceeding against ONE should be severed from the other Respondents.

ONE agrees that this proceeding should be severed into separate cases. As Your Honor has correctly determined, severing is appropriate here because there is “no common transaction, occurrence or series of transactions or occurrences” involving multiple Respondents. FMC Docket 25-02, Doc. No. 24 at 5.

II. The proceedings against ONE should not be grouped by alliance members.

While Your Honor appears to have relied primarily on the FRCP 20(a) requirement to favor severing these proceedings, the commonly applied multi-factor test cited by the parties remains informative as to whether certain Respondents should be severed despite any alliances. *See, e.g., M.M.M. on behalf of J.A.A. v. Sessions*, 319 F.Supp.3d 290, 295 (D.D.C. 2018); *Erausquin v. Notz, Stucki Mgmt. (Berm.)*, 806 F.Supp.2d 712, 720 (S.D.N.Y. 2011). Although ONE maintains the position that all 5 factors favor severing the proceedings, the factor relating to the prejudice to each Respondent favors alliance members being separated as well. Specifically, the inclusion of any other Respondent will unreasonably burden ONE with: hosting and reviewing another Respondent’s documents at a substantial additional cost; attending unnecessary depositions of another Respondent; and seeking extensive protections, pursuant to Federal Maritime Commission (“Commission”) Rule 502, to keep confidential business sensitive materials away from other Respondents. *See* ONE sever motion, FMC Docket 25-02, Doc. No. 17 at 8.

As confirmed by the extensive research of this Commission, “individual ocean carriers within each alliance continue to compete on pricing and marketing independently and vigorously.” Commission Fact Finding Investigation 29 Final Report at 44. Moreover,

“[c]ompetition officials of the European Union, China, and the Federal Maritime Commission regularly discuss our ocean shipping markets and we have, to date, observed no indication that the current prices for liner shipping are a result of collusive or illegal conduct on the part of major ocean carriers in our markets.” Fact Finding Investigation 29 Final Report at 44-45.

These conclusions are based on the actual practices of ONE and other Respondents in this proceeding, who are all part of “the most heavily monitored carrier agreements.” Fact Finding Investigation 29 Final Report at 43.

These alliances help increase the offerings to customers by allowing separate ocean carriers to optimize space used on a given vessel, offer more ports of call, and expand trade routes. Despite being part of an alliance, ONE independently markets for its own customers and cargo bookings; competes with other ocean carriers for business on the same trades; issues its own bills of lading; sets its own freight rate and detention and demurrage charges; negotiates and perform under its own service contracts; operates its own vessels; develops its own billing practices; applies its own customer service policies; and resolves its own claims. *See, e.g.,* THE Alliance Agreement, FMC Agreement No. 12439 at ¶¶ 5.3(b) and 15.1. To be very clear, all of these business and operational functions are performed by ONE independently of the other ocean carriers, even those that are part of an alliance. Thus, grouping these highly regulated ocean carriers together by alliance would still compel them to concurrently defend independent claims.

In order for ONE and the other Respondents to maintain a competitive marketplace for customers, their respective transactions and business practices have to remain independent of each other. Accordingly, ONE respectively submits that it should be severed completely from the other Respondents and not grouped by an alliance for the purposes of these proceedings.

III. Conclusion

For the reasons set for the above, Respondent ONE respectfully requests that Your Honor completely sever the claims against ONE into a distinct action, independent of any alliance, so as to allow ONE to proceed separately.

Dated: July 7, 2025

Respectfully submitted,

MONTGOMERY MCCracken WALKER & RHOADS LLP

/s/Timothy Semenoro

Timothy Semenoro
Wook Chung
Robert O'Connor
Kaspar Kielland
Matteo Bonuzzi
427 Madison Avenue, 24th Floor
New York, New York 10022
Tel: 212 867 9500
tsemenoro@mmwr.com
wchung@mmwr.com
roconnor@mmwr.com
kkielland@mmwr.com
mbonuzzi@mmwr.com

*Counsel for Respondent
Ocean Network Express Pte. Ltd*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 7th day of July 2025, the foregoing supplemental reply, pursuant to 46 C.F.R. §502.141(b), was served via electronic mail on:

Attorneys for Complainant Nielsen & Bainbridge, LLC:

HUTH REYNOLDS LLP
Gregory A. Crapanzano II (gcrapanzano@huthreynolds.com)
809 N. 26 Street
Richmond, VA 23223
Tel: (917) 575-3440
Fax: (646) 664-1512

HUTH REYNOLDS LLP
Karl C. Huth (huth@huthreynolds.com)
Caden Otunu (cotunu@huthreynolds.com)
Mohini P.B. Rarrick (mpriya@huthreynolds.com)
41 Cannon Court
Huntington, NY 11743
Tel: (212) 731-9333 / (845) 423-0360 / (818) 235-9753
Fax: (646) 664-1512

HUTH REYNOLDS LLP
Matthew J. Reynolds (reynolds@huthreynolds.com)
7800 Grampian Court
Chesterfield, VA 23838
Tel: (646) 872-9353
Fax: (646) 664-1512

Attorneys for Respondent Orient Overseas Container Line Limited and OOCL (Europe) Limited:

BLANKROME
Keith B. Letourneau (Keith.Letourneau@BlankRome.com)
Evan Spencer (Evan.Spencer@blankrome.com)
717 Texas Avenue, Suite 1400
Houston, TX 77002
Tel: (713) 402-7640

BLANKROME

Matthew J. Thomas (Matthew.Thomas@blankrome.com)
Emma C. Jones (Emma.Jones@blankrome.com)
1825 Eye Street NW
Washington, D.C. 20006
Tel: 202) 772-5971

JEFFREY/FENNEMAN LAW + STRATEGY, PLLC

Eric C. Jeffrey (EJeffrey@JeffreyFenneman.com)
Rebecca A. Fenneman (RFenneman@JeffreyFenneman.com)
Kaya C. Massey (KMassey@JeffreyFenneman.com)
Nicholas L. Webb (NWebb@JeffreyFenneman.com)
700 12th Street, NW Suite 700
Washington, DC 20005
Tel: (202) 904-2301

Attorneys for Respondents

Evergreen Line Joint Service Agreement (FMC#011982), Evergreen Marine Corporation (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima Spa, Evergreen Marine (Hong Kong) Ltd., Evergreen Marine (Singapore) Pte. Ltd., and Yang Ming Marine Transport Corporation

MAHONEY & KEANE, LLP

Edward A. Keane (ekeane@mahoneykeane.com)
Garth S. Wolfson (gwolfson@mahoneykeane.com)
40 Worth Street, Suite 602
New York, New York 10013
Telephone: (212) 385-1422

/s/Kaspar Kielland
Kaspar Kielland